

For instance,

Call Option at strike price ₹2200 is bought at a premium of ₹50.

Riskless Bond that pays ₹2200 strike price at expiry (say in 30 days) is bought today at ₹2170.

Put Option at strike price ₹2200 is bought at a premium of ₹220.

Underlying asset or stock's CMP = ₹2000.

Now, setting up a Put Call parity relationship between these we have,

PUT - CALL PARITY

Call Option + Riskless Bond = Put Option + Underlying Stock

₹50 + ₹2170 = ₹220 + ₹2000

₹2220 = ₹2220

So, we can see that both sides of the equation are matching. We can say that the put-call parity is being maintained. If the relation does not hold true, we can say that the market is inefficient and will give us an arbitrage opportunity.

MARKET
INEFFICIENCY

ARBITRAGEUR

